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POLICY NUMBER: **FP-FIN-013**

COMMITMENTS AND CONTINGENCIES

ACCOUNTING POLICY

The purpose of this policy is to provide comprehensive guidance regarding Hilton Worldwide Holdings, Inc.'s ("Hilton's") accounting for commitments and contingencies in accordance with U.S. Generally Accepted Accounting Principles ("GAAP") Accounting Standard Codification ("ASC").

POLICY STATEMENT

Commitments and contingencies are broad topics that are relevant to many areas of Hilton's operations. This policy provides accounting guidance in accordance with U.S. GAAP and applies to the financial information aggregated into the consolidated financial statements and notes.

SCOPE

Commitments within the scope of this policy pertain to general commitments such as unconditional purchase obligations or other promises to contribute cash or other assets in the future.

Contingencies within the scope of this policy are limited to existing conditions, situations or set of circumstances involving uncertainty as to a possible gain or loss that will ultimately be resolved when one or more future events occur or fail to occur. Not all uncertainties give rise to contingencies.

APPLICABILITY

This policy applies to all Finance, Asset Management, Development, and Legal personnel as well as other department personnel, as applicable.

EXCLUSIONS/ EXCEPTIONS

Estimates are required in financial statements for many ongoing and recurring activities of Hilton and such estimates are not considered uncertainties within the context of this policy. Such estimates excluded from the scope of this policy include, but are not limited to, estimates around depreciation or accruals for amounts owed for services received.

Income Tax Contingencies: Refer to **FP-FIN-301—Uncertain Tax Positions Accounting Policy** for details on accounting for income tax contingencies.

Guarantees: Refer to **FP-FIN-026—Guarantees Accounting Policy** for details on accounting for guarantees.

Asset retirement obligations (“ARO”): AROs are outside of the scope of this policy. Refer to **FP-FIN-025—Asset Retirement Obligations Accounting Policy** for guidance on accounting for AROs.

Exit and Disposal Costs: Refer to **FP-FIN-009—Exit or Disposal Cost Obligations** for guidance on accounting for exit and disposal cost obligations.

AUTHORIZATIONS

Required Consultations with Technical Accounting (“TA”)

TA must be notified to determine the appropriate accounting for all gain contingencies, business interruption and/or general insurance proceeds in excess of \$1.0 million. Additionally, TA must be notified of all new purchase commitments in excess of \$5.0 million.

INITIAL RECOGNITION AND MEASUREMENT

a. Loss Contingencies

Contingent losses should be accrued when both the following are met:

- Information available before the financial statements are issued or are available to be issued indicates it is probable an asset has been impaired or a liability has been incurred at the date of the financial statements.
- The amount of the loss can be reasonably estimated.¹

Probable: When to Accrue a Loss Contingency

An event is considered probable when the future event or events are likely to occur.² The assessment of probability is the responsibility of the Legal team and the associated business owners, as applicable. All contingencies must be documented

¹ ASC 450-20-25-2, Contingencies, Loss Contingencies, Recognition

² ASC 450-20-25-3, Contingencies, Loss Contingencies, Recognition

with sufficient evidence supporting the assessment of probability. Additional documentation may be required to support Hilton's position on significant, non-recurring contingencies.

Reasonably Estimable: How Much to Accrue

If a contingency is determined to be probable, the Legal team and the associated business owners, as applicable, will determine if a reasonable estimate of the contingent loss can be estimated. If there is a range of potential losses, Hilton will accrue for the most likely scenario within the range. However, if it is determined there is an equal probability for all scenarios within the range, Hilton will accrue for the lowest estimated potential loss.³

Probable or Reasonably Possible but not Reasonably Estimable

Hilton considers "reasonably possible" to be a greater than remote but less than probable likelihood of occurrence. If Hilton determines a loss is probable or reasonably possible but not reasonably estimable, an accrual will not be recorded for the contingency. Instead, Hilton will consider whether it needs to disclose in its Notes to Consolidated Financial Statements the nature of the loss contingency and the possible loss or range of loss or that an estimate cannot be made.⁴

Remote Loss

No accrual or disclosure will be made for loss contingencies considered remote.

Unasserted Claims

The Legal team, in coordination with the associated business owners, will assess the likelihood of unasserted claims being brought against Hilton. If it is probable a claim will be asserted in the future and there is a reasonable possibility that the outcome of that claim will result in a loss, Hilton will consider whether it needs to disclose in its Notes to Consolidated Financial Statements the nature of the loss contingency and the possible loss or range of loss or that an estimate cannot be made.⁵

Legal Costs Expected to be Incurred in Defending Loss Contingencies

Hilton will not accrue for legal costs it expects to incur in defending itself, rather legal fees will be accrued as incurred.⁶

b. Gain Contingencies

Hilton will only recognize a gain when it is realized or realizable.⁷ This is typically upon receipt of cash to avoid misleading implications for the probability of a favorable outcome.

c. Commitments

Hilton evaluates all unconditional purchase obligations to determine whether they are in substance leases or meet the definition of a derivative. Consult with TA for help in determining whether an unconditional purchase obligation is an in-substance lease or meets the definition of a derivative.

If a commitment does not meet the definition of a lease or a derivative, it is considered a liability and is recognized if all of the following criteria are met:

- a. It embodies a present duty or responsibility to one or more other entities that entails settlement by probable future transfer or use of assets at a specified or determinable date, on occurrence of a specified event or on demand.
- b. The duty or responsibility obligates a particular entity, leaving it little or no discretion to avoid the future sacrifice.
- c. The transaction or other event obligating the entity has already happened.⁸

If a commitment does not meet all of the above criteria, the commitment could be an unconditional purchase obligation and could be subject to certain disclosure requirements. All commitments must be communicated to the SEC Reporting ("SECR") team to evaluate for disclosure in the notes to Hilton's consolidated financial statement.

³ ASC 450-20-30-1, Contingencies, Loss Contingencies, Initial Measurement

⁴ ASC 450-20-50-4 through 50-5, Contingencies, Loss Contingencies, Disclosure

⁵ ASC 450-20-50-6, Contingencies, Loss Contingencies, Disclosure

⁶ ASC 450-20-S99-2, Contingencies, Loss Contingencies, SEC Materials

⁷ ASC 450-30-25-1, Contingencies, Gain Contingencies, Recognition

⁸ Financial Accounting Standards Board, Statement of Financial Accounting Concepts No. 6, paragraph 36

SUBSEQUENT MEASUREMENT

a. Loss Contingencies

Any changes in the reasonably estimable amounts or likelihood of occurrence are accounted for in the period of change.⁹

FINANCIAL STATEMENT LINE ITEMS AFFECTED

Note: The following section addresses the financial statement line items affected by the accounting for routine transactions covered by this policy. For all transactions that require a consultation with TA, please defer to the guidance provided by TA regarding the appropriate financial statement line items affected by the transaction.

<u>Transaction</u>	<u>Affected</u>		
	Balance Sheet Line Item	Income Statement Line Item	Cash Flow Statement Section
Accrual of loss contingency anticipated to be settled within 12 months (e.g., self-insurance claims, lawsuits)	- Accounts payable, accrued expenses and other (credit)	- Various line items depending on the nature of the contingency	- Operating Activities (reconciling item to net income)
Accrual of loss contingency not expected to be settled within 12 months (e.g., self-insurance claims, lawsuits)	- Other long-term liability (credit)	- Various line items depending on the nature of the contingency	- Operating Activities (reconciling item to net income)
Settlement of a loss contingency (e.g., self-insurance claims, lawsuits)	- Cash (credit) - Accounts payable, accrued expenses and other (debit)	N/A	- Operating Activities (reconciling item to net income)
Recognition of a gain contingency (e.g., insurance recoveries or lawsuits)	- Cash (debit) or - Accounts receivable, net of allowance for credit losses(debit)	- Various line items depending on the nature of the contingency	- Operating Activities (reconciling item to net income)

RELATED DOCUMENTS, TOOLS, AND TEMPLATES

POLICIES & PROCEDURES

[FP-FIN-009—Exit or Disposal Cost Obligations Accounting Policy](#)

[FP-FIN-025 – Asset Retirement Obligations Accounting Policy](#)

[FP-FIN-026—Guarantees Accounting Policy](#)

[FP-FIN-301—Uncertain Tax Positions Accounting Policy](#)

⁹ ASC 250-10-45-17, Accounting Changes and Error Corrections, Overall, Other Presentation Matters

TERM/ACRONYM	DEFINITION
Business Interruption Insurance	Insurance that provides coverage if business operation is suspended due to the loss of use of property and equipment resulting from covered cause of loss. Business interruption insurance coverage generally provides for reimbursement of certain costs and losses incurred during the reasonable period required to rebuild, repair or replace the damaged property.
Gain Contingency	An existing condition, situation or set of circumstances involving uncertainty as to possible gain to an entity that will ultimately be resolved when one or more future events occur or fail to occur.
Loss Contingency	An existing condition, situation, or set of circumstances involving uncertainty as to possible loss to an entity that will ultimately be resolved when one or more future events occur or fail to occur. The term loss is used for convenience to include many charges against income that are commonly referred to as expenses and others that are commonly referred to as losses.
Probable	That which can reasonably be expected or believed on the basis of available evidence or logic but is neither certain nor proved.
Reasonably Possible	The chance of the future event or events occurring is more than remote but less than likely.
Remote	The change of the future event or events occurring is slight.
Unconditional Purchase Obligation	An obligation to transfer funds in the future for fixed or minimum amounts or quantities of goods or services at fixed or minimum prices (for example, as in take-or-pay contracts or throughput contracts).

ROLES AND RESPONSIBILITIES

ENTITY/PERSONNEL	RESPONSIBILITIES
Technical_Accounting@hilton.com	The email represents the TA contact address. Please direct any questions regarding the interpretation or implementation of this policy to a member of the TA team or the listed email.